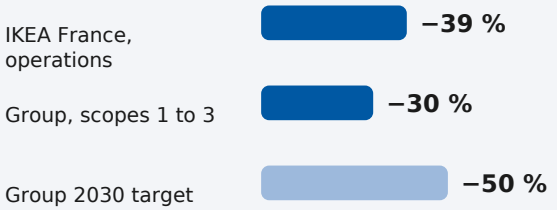
REASONING MAP

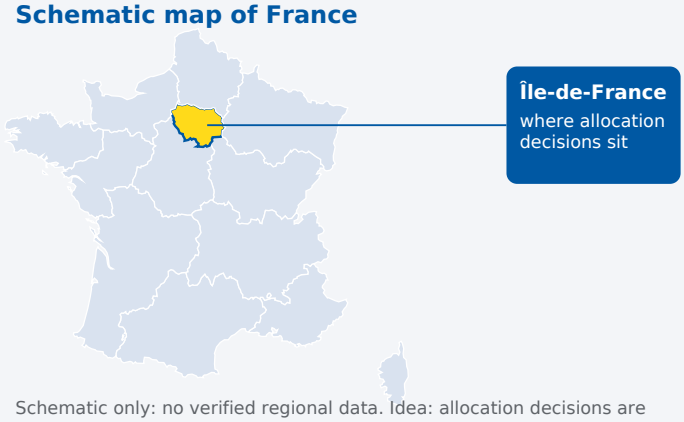
Question. Do Article 8 and Article 9 funds (SFDR) actually reduce emissions in the real economy, or do they only shift the problem?

Emissions reduction vs 2016



Source: Ingka ESG Profile. Different scopes; the 2030 target has not been reached yet.

Schematic map of France



Schematic only: no verified regional data. Idea: allocation decisions are taken at the centre; their effects play out in the regions.

1 · Transparency ≠ impact

SFDR requires a declared strategy and PAI indicators. Article 8 'promotes' environmental or social characteristics; Article 9 targets a 'sustainable investment objective'. Neither sets a measured emissions cut.

Course, Module 2 (SFDR, PAI, DNSH)

2 · Cost of capital

Excluding or down-weighting an issuer raises its cost of capital. The real effect runs through primary flows: a secondary-market purchase finances no project.

Course, Modules 1 and 3 (exclusion, additionality)

3 · Greenwashing risk

The EU taxonomy measures eligibility, not an emissions cut. The same label can cover very different effects.

Course, Module 2 (taxonomy, greenwashing)

My thesis. No, not automatically. SFDR improves transparency, not impact. The environmental effect depends on shareholder engagement and on the additionality of the financing.

SUMMARY

A fund classified as Article 8 or 9 does not, on its own, prove that it reduces real-economy emissions. SFDR is first and foremost a transparency obligation: a declared strategy, principal adverse impact (PAI) indicators and the 'do no significant harm' (DNSH) principle. This transparency has real value because it lets savers compare funds. But it describes what a fund says it does, not what its capital actually achieves.

My view is therefore nuanced. The environmental lever works less through the label than through two mechanisms. The first is engagement: voting at shareholder meetings, dialogue, and escalation up to divestment. The second is additionality: financing projects that would not have been financed without this capital. A well-rated portfolio can hold listed shares whose price changes hands without any change in real capital. In that case the fund gains reputation without cutting emissions.

I conclude that SFDR is a necessary but insufficient tool. To deliver on its promise, PAI indicators would need to be linked to measured trajectories, verifiable data would need to be published, and primary financing would need to be distinguished from secondary trading. My position could be challenged on one point: if Article 8/9 funds end up excluding the largest emitters, pressure on their cost of capital could be enough to change their behaviour even without active engagement. That is the test I would run on the data.

What would change my mind: if published PAI data show, over several years, that Article 8/9 portfolios cut emissions faster than conventional funds, verifiable from public sources.

Sources: course by Sabrine Aouida, Modules 1 to 3; Ingka ESG Profile (IKEA figures). Check regulations against official texts: SFDR (EU) 2019/2088; EU Taxonomy (EU) 2020/852.